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How can companies boost legitimacy in international markets? A dynamic marketing capabilities approach

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Abstract

Purpose – Foreign markets possess different characteristics to domestic ones; this means that dynamic marketing capabilities (DMCs) should be adjusted. This paper aims to understand how these DMCs enable firms to achieve greater legitimacy in international markets.

Design/methodology/approach – This research uses a qualitative approach based on in-depth interviews in collaboration with an association of exporting firms.

Findings – Findings suggest five areas of DMCs to improve organizational legitimacy overseas: flexibility, relationship management, local market sensitivity, anticipation and exemplariness. Those capabilities should be combined and will play a different role depending on the implementation phase of the external company. Resource allocation and capability development should follow an integrative approach emphasizing proximity, adaptability, alliances, engagement and credibility to reach differentiation in foreign markets.

Originality/value – The originality is mainly focused on the cohabitation and strong synergies between DMCs and legitimacy. This aspect is particularly relevant because legitimized companies have higher levels of survival, which is fundamental in the international venture.

Keywords Dynamic marketing capabilities, Legitimacy, Institutional theory, Internationalization

Paper type Research paper

1. Introduction

Compared to home markets, international marketplaces are characterized by a higher complexity as firms are exposed to additional environmental uncertainties, including new actors, costs and opportunities (Cavusgil *et al.*, 2020; Cavusgil and Zou, 1994; Kaleka and Morgan, 2019). Foreign managers thus face difficulties in terms of sensing and understanding the quick changes occurring in local customers' demands (Xu *et al.*, 2018). It means that they require additional knowledge and resources to achieve a promising competitive proposition in those markets (Gnizy, 2019) and should also consider new variables to attend to new customer requirements (Pfafar *et al.*, 2021). Therefore, managers

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should assess their internal and external capabilities to rapidly adapt their offerings and guide their processes to attend to changing demands of customers (Xu *et al.*, 2018).

In this context, the dynamic capabilities (DCs) of firms, understood as "the capacity of an organization to purposefully create, extend, or modify its resource base" (Helfat *et al.*, 2007, p. 4), play a central role when dealing with market demands. Particularly, marketing managers should constantly assess the sources of value creation for local customers in international environments so as not to fail (Xu *et al.*, 2018). International dynamic marketing capabilities (DMCs), understood as those processes and routines that enable companies to create and deliver customer value in response to market changes better than their rivals (Fang and Zou, 2009; Mitrega, 2020; Morgan *et al.*, 2018), thus require a careful analysis (Mitrega *et al.*, 2021). For instance, DCs provide an outstanding theoretical approach to understanding those internal and external processes (Morgan *et al.*, 2018), but there is also a need to adopt new theories to understand the integration of those firms into new institutional environments and the role of stakeholders (Gligor *et al.*, 2019). This combined approach will help to clarify the measures adopted according to firm competences in international settings (Brouthers *et al.*, 2008).

Institutional theory is particularly relevant to comprehend the context in which firms operate better (Scott, 1995). The relationship between DCs and institutional theory has been suggested before (Greenwood *et al.*, 2008). Institutionalists point out that firms survive when they obtain legitimacy. Organizational legitimacy is a favorable perception of the acceptability of an organization based on transmitted usefulness, justice and adequacy (Díez-Martín *et al.*, 2021a). An organization is useful when it contributes to society or stakeholders (Chung *et al.*, 2016). To be considered legitimate, an organization has to comply with the rule of law and social norms (Suchman, 1995). Furthermore, an organization is legitimate when it strives to do things right and tries to offer the best products and services (Dacin *et al.*, 2007).

Companies acquire legitimacy by developing desirable and appropriate actions for society (Deephouse *et al.*, 2017). Therefore, successful internationalization of firms depends on their adaptation to the local context and their ability to overcome society's unfamiliarity and distrust of the unknown (Kostova *et al.*, 2008). In this context, firms generate DMCs to adapt to the local reality (Eisenhardt and Martin, 2000). Those DMCs enable firms to obtain better internationalization results (Gölgeci *et al.*, 2019) by gaining legitimacy.

However, there is still much to be understood about which DMCs are required to generate organizational legitimacy in international markets and how they are developed (Gölgeci *et al.*, 2017; Mckague, 2011). This paper therefore intends to answer: how do firms manage their DMCs to adapt their business to new international environments? In line with the challenge suggested by Gölgeci *et al.* (2017), the paper also intends to explore: what is the role of DMCs in generating organizational legitimacy to overcome the disadvantages of being a new firm in a foreign country? By answering this question, the paper also helps clarify how marketing managers develop their DMC through specific measures (Brouthers *et al.*, 2008), providing a potential framework to operationalize DMC strategies to improve legitimacy in international markets (Di Stefano *et al.*, 2010). It is particularly important to provide novel approaches in the deployment of new capabilities in a rapidly changing world with blurred rules in the competitive game (Morgan *et al.*, 2018).

Due to the novelty and complexity of the approach, this research follows a qualitative methodology based on in-depth interviews with manufacturing company managers in collaboration with an export club organization. This type of research enabled understanding of the essence of the DMCs to be developed and how the strategy allowed them to be shaped (Preikschas *et al.*, 2017) and enabled a gain in legitimacy in those markets overseas. Legitimacy would become a source of differentiation to shape institutional contexts, particularly in those emerging and developing markets that demand reliable companies to improve their competitive environment and the way of doing business. This research provides two main contributions. First, it combines the DMC with Institutional Theory by suggesting a set of guidelines for developing legitimacy towards stakeholders in foreign markets as a source of differentiation. Second, it introduces the need to internalize compliance practices to generate higher confidence by local business and public authorities as an antecedent of snowball inertia in the business environment, in order to better accomplish institutional criteria in times of change.

Based on the objectives stated, the paper is organized as follows. The second section includes the theoretical background explaining the characteristics of DMCs in international markets and the importance of gaining legitimacy in international markets. The third section details the methodological approach adopted. The fourth section explains the findings obtained after the detailed analysis and the fifth section, the discussions. The sixth and final section has the conclusions, including theoretical and managerial implications and future lines of research.

2. Theoretical background

2.1 Dynamic marketing capabilities in an international context

DCs have their origin in Evolutionary Economics, as it emphasizes the need to adapt firms to the fast-changing environment (Nelson and Winter, 1982) and in the Resource-Based View (RBV) (Barney, 1991, 2001; Keskin *et al.*, 2021; Martin *et al.*, 2020; Wernerfelt, 1984), which addresses how to develop valuable, rare, inimitable and non-substitutable resources (Barney, 2001; Barney and Clark, 2007). The literature distinguishes between operational capabilities (also named zero-order capabilities) that intend to take advantage of a firm's resources (Collis, 1994) and the DCs that imply purposeful modifications of an organization's resource base (Schilke *et al.*, 2018). The operational capabilities are the essentials of DCs, the base of a hierarchy that can be modified in different levels of DCs (Winter, 2008). In essence, DCs are extremely important abilities nowadays, but particularly during the internationalization process, as they can favor the understanding of different environments and knowledge-transfer processes (Al-Aali and Teece, 2014), resulting in a better identification of resource-based advantages (Peteraf, 1993; Newbert, 2007). International DCs were applied in the field of internationalization. For example, DCs help to understand the performance of firms (Prange and Verdier, 2011), innovation and diversification in an international context (Wu *et al.*, 2016), the entry mode (Liu and Kang, 2020), or the influence on international entrepreneurship (Buccieri *et al.*, 2021). DCs were identified as a source of innovation within international strategies to take advantages of growth opportunities (Torkkeli *et al.*, 2019). However, little attention was paid to how DCs can shape legitimacy in international markets. In particular, this research will focus on DMCs in international settings (Mitrega, 2020): "a company's processes that reconfigure its marketing resources for market anticipation". This means studying how new products, how networks and relationships should be managed, or how solution development should be adapted to different markets, how to reconfigure marketing tools or how to use market knowledge to improve routines in different markets (Weerawardena *et al.*, 2015). This holistic approach is necessary to understand how to compete in complex and different marketing contexts to increase legitimacy as an antecedent of success of international ventures.

2.2 Legitimacy and its importance in international markets

The conceptual foundations of Institutional Theory are forged around Meyer and Rowan (1977, 1983), Zucker (1983) and DiMaggio and Powell (1983). This theory explains why some organizations act in an inexplicable way, with actions that are technically inefficient and that defy any traditional rational explanation (Greenwood *et al.*, 2008). In response to this question, institutionalists consider that organizational behavior is influenced by the institutional context, that is, by the rules, norms and ideologies of society (Meyer and Rowan, 1983; Zucker, 1983). Organizational behavior is motivated by conforming to institutionalized norms and thus: avoid sanctions (cognitive isomorphism), respect social obligations (normative isomorphism), or generate behaviors similar to others (mimetic isomorphism), which do not make them appear deviant or late (DiMaggio and Powell, 1983). Adjusting to the institutional context is a way of signaling the social suitability of the organization, gaining legitimacy and improving prospects for survival (Deephouse *et al.*, 2017).

Institutional pressures affect all organizations. Organizations confront institutional contexts with multiple and inconsistent rationalities. There are multiple possible responses to the institutional context that may be equally legitimate (Meyer and Rowan, 1977). In this way, conforming to institutional rules can conflict with organizational efficiency (Crilly *et al.*, 2012). Institutionalists establish that organizational behaviors are not always explained by their technical efficiency, but that there are other components related to institutional pressures and logic, which are what mark their organizational activity. For this reason, institutionalists emphasize that organizations seek legitimacy and survival, not efficiency.

The institutional context varies between regions and even between subsidiaries of the same multinational (Lincoln and McBride, 1987). The idea that organizations would become aligned with their institutional contexts in the same way became less acceptable. Thus, organizations would use different organizational practices to acquire legitimacy. Organizations with “inappropriate” structures, i.e., that did not reflect institutional context preferences, will experience social dissatisfaction (Greenwood *et al.*, 2008).

According to this theory, companies must adapt their strategies so that they are perceived by the government, employees and consumers as acceptable within the international institutional environment (Deephouse *et al.*, 2017). Companies with strategies that do not conform to the institutional norms of international markets cannot be considered legitimate (Brouthers *et al.*, 2008). In this sense, the literature has extensively discussed the need to seek legitimacy when a company wants to enter foreign markets (e.g., Meyer and Peng, 2016).

However, the basic principles of Institutional Theory apply differently in the international context. In these contexts, multinational corporations must also show distinctiveness to their host countries that is valued and appreciated by local constituents (Kostova *et al.*, 2008). The management of DMCs focused on this purpose contributes to the generation of greater diversity in organizations, which plays a key role in the social construction of a positive perception by salient stakeholders. At this point, the relationship between Institutional Theory and DMCs is based on three ideas (Greenwood *et al.*, 2008); 1) when companies respond to social pressures, they limit their strategic options because they have to develop new DMCs to overcome the limitations strategies derived from the institutional environment (Brammer *et al.*, 2012; Danneels, 2012); 2) companies can develop new strategies faster and cheaper than others to exploit business opportunities and achieve superior financial performance (Danneels, 2008); and 3) companies must identify which DMCs they need to achieve the legitimacy of their business operations in the institutional environment (Luken and Stares, 2005).

Organizational legitimacy is a strategic resource (Díez-Martín *et al.*, 2021a), which refers to whether the firm’s behavior is appropriate and socially accepted (Suchman, 1995; Suddaby *et al.*, 2017). Companies obtain legitimacy when they carry out a useful activity, in line with social norms and performed in the best possible way (Suchman, 1995). Companies achieve legitimacy if they meet social standards and earn the “right to exist” (Rana and Sørensen, 2020). The importance of legitimacy lies in the fact that it improves the chances of survival and growth of organizations (Deephouse *et al.*, 2017). Companies with greater legitimacy obtain greater access to resources (Pollack *et al.*, 2012) because they emit a signal of validity (Haack *et al.*, 2021) that makes them less questionable (Bitektine, 2011). Moreover, legitimacy facilitates a greater ability to influence people’s behavior (Chung *et al.*, 2016) and generates an advantageous position to compete for market resources (e.g., investors, better employees, customers). Likewise, stakeholders will be more willing to engage with organizations that have legitimacy, avoiding relationships with organizations that are questioned by society (Del-Castillo-Feito *et al.*, 2021).

When a firm faces an internationalization process, it must adapt to institutional contexts, which represent challenges and opportunities to legitimize itself and involves the acceptance of the firm by local stakeholders (Bitektine, 2011; Saka-Helmhout and Geppert, 2011). Legitimacy enables exporting firms to succeed in host countries (Zhang *et al.*, 2022). By displaying legitimacy, these companies offer trust, which reduces the risk associated with unawareness of being a market novelty (Kostova and Zaheer, 1999). Del-Castillo-Feito *et al.* (2021), Madhok and Keyhani (2012) or Zaheer (1995) have shown the importance of gaining legitimacy for firms entering a new host country to succeed. Kostova and Zaheer (1999), Marschlich and Ingenhoff (2022) or Del-Castillo-Feito *et al.* (2021) establish that due to the so-called "liability of foreignness", foreign firms are observed more critically by the host country environment, which may affect legitimacy perceptions.

Zhang *et al.* (2022) identify the need to investigate how the host country grants legitimacy to firms, especially how consumers grant legitimacy to these foreign firms (Bitektine and Haack, 2015; Suddaby *et al.*, 2017). Panwar *et al.* (2014) establish only social and environmental criteria that influence legitimacy. Bitektine *et al.* (2020) identify socio-political and cognitive dimensions. Del-Castillo-Feito *et al.* (2021) show that employee involvement through social responsibility actions increases corporate legitimacy in host countries. However, there is still research to be done on how companies that identify legitimacy as a strategic resource manage it in order to achieve acceptance, support and success in host countries.

Considering that firm survival and success is highly dependent on organizational legitimacy (Kostova and Zaheer, 1999), firms proactively seek to demonstrate their congruence with social expectations emerging in the host country environment (Deephouse *et al.*, 2017). An increasing amount of research is focusing on the importance of firms in the process of legitimizing themselves. Legitimacy is particularly important in the internationalization process because it highlights the accountability of foreign firms in the host country, which can result in stereotypes and different standards being used to judge the legitimacy of foreign firms compared to that of domestic firms (Marschlich and Ingenhoff, 2022). Due to the comparatively high levels of evaluation of foreign firms, legitimacy-seeking efforts are essential to ensure social acceptance and long-term survival.

2.3 Dynamic marketing capabilities as a legitimacy enabler in international markets

The literature on DC and organizational legitimacy shares interests in the interaction of organizational context and practices (Greenwood *et al.*, 2008). DCs represent organizational resources for task performance (Teece *et al.*, 1997). Meanwhile, legitimacy refers to the acceptability of the practices developed by organizations (Díez-Martín *et al.*, 2022). In the evaluation of legitimacy, evaluators analyze the desirability and acceptability of both the results generated by organizational actions and the resources used to develop those actions (Bitektine and Haack, 2015), including the evaluation of those DMCs involved in legitimacy actions. For example, stakeholder engagement is built as a DMC to gain legitimacy and increase the resource bases of firms (Watson *et al.*, 2018) and the DMC provides a process map for building consensus and legitimacy in the Artificial Intelligence industry (Bez and Chesbrough, 2020).

Institutional Theory scholars have explained that the most legitimized firms survive longer (Suddaby *et al.*, 2017). In the case of firms whose goal is internationalization, it has been shown that the acquisition of legitimacy allows them to overcome the problems associated with the unfamiliarity of the firm in the local market (Bai *et al.*, 2019). Legitimacy implies trust (Deephouse *et al.*, 2017), it generates social support and favors access to essential resources for survival (Suchman, 1995) and entrepreneurial success (Cachón-Rodríguez *et al.*, 2021). DCs can play an important role in achieving legitimacy (Gölgeci *et al.*, 2017). Organizations gain legitimacy when the tasks they perform are evaluated as appropriate and desirable within the system of social norms, rules and beliefs (Haack *et al.*, 2021). Thus, more context-adapted (acceptable) and value-generating (desirable) DCs would increase legitimacy, favoring business (Gölgeci *et al.*, 2017; Mckague, 2011). Kostova *et al.* (2008) highlight that the success of multinationals depends on gaining legitimacy by a good adaptation to the local market, together with a value proposition different from that of local firms. Being different and being the same to attain legitimacy.

Along these lines, it has been argued that the effect of DMCs on firm performance is moderated by the institutional context. Depending on the institutional context, some DMCs are more successful on firm internationalization (e.g., adaptability; supply-chain agility) (Gölgeci *et al.*, 2019). The same applies to legitimacy assessments. Context is relevant for the formation of legitimacy judgments and perceptions (Bitektine *et al.*, 2020) because legitimacy depends on multiple stakeholder expectations and demands (Fisher *et al.*, 2017). For example, significant differences in legitimacy judgments occur in contexts of uncertainty because preferences in evaluators' judgments also change (Díez-Martín *et al.*, 2022) since the context conditions are different. The differences that occur in the legitimacy assessments depending on the context could be explained by the fact that DMCs produce different effects on the results of the internationalization of firms. In a way, the success of DMCs could be determined by the firm's ability to generate organizational legitimacy, which depends on the institutional context.

In line with the literature on organizational legitimacy (Deephouse *et al.*, 2017; Díez-Martín *et al.*, 2021b; Suddaby *et al.*, 2017), some research has suggested DMCs that would allow legitimacy to be gained and maintained (Mckague, 2011): Communicating across organizational cultures; Emphasizing rational evidence; Demonstrating commitment; Promoting local ownership; Ensuring an inclusive and unbiased approach; Building networks and brokering relationships. Over time, organizations have developed capabilities to legitimize new initiatives (Grøgaard *et al.*, 2022). For instance, researchers have shown that a good network of local partners helps to overcome the problems of resource scarcity and legitimacy in global markets (Buccieri *et al.*, 2021).

However, despite the relevance of DMCs and legitimacy in the internationalization process of firms, progress in this line of research is still at an exploratory stage. The combination of concepts and strategies associated with these theories provides new insights on how managers can adapt their business to new environmental settings. In the next sections, this research will provide ideas on how to manage DMCs to generate organizational legitimacy and mitigate the disadvantages faced by foreign firms in overseas markets. With this aim, a qualitative exploratory approach is deployed to delve into successful and failed strategies applied by firms to boost DMCs that increase their organizational legitimacy.

3. Methodology

3.1 Research approach

There is a need to address the DMC in international markets due to its different nature and the multiplicity of approaches that exists (Pfafar *et al.*, 2021). It requires developing new insights and theory to understand how marketing strategists implement their DCs to gain greater legitimacy and differentiate their firms and exploratory qualitative research provides a good basis for understanding the phenomena from the experience of decision-makers (Lindgreen *et al.*, 2021; Pratt *et al.*, 2022). This research resorts to

Grounded Theory (GT), a well-known analytical method commonly used in social sciences to discover behavioral and managerial patterns from data (Lindgreen *et al.*, 2021; Johnson, 2015). GT is therefore useful for studying unexplored fields of literature with the aim of suggesting new frameworks and perspectives of interest through continuous iterative processes (Keränen and Jalkala, 2013).

This research approach was chosen firstly because of the difficulty of quantifying the object of research (Elharidy *et al.*, 2008). Secondly, because of the absence of studies integrating the DMC with institutionalism and Stakeholder Theory requiring a prospective approach (Plakoyiannaki and Budhwar, 2021). And thirdly, because of the lack of *ex ante* strategies to be considered within a quantitative approach (Mckague, 2011). The information received from interviews with experts, rich in details and nuances, is transformed into information through an iterative coding process with three steps: open, axial and selective coding (Creswell, 2014). This sequential perspective applied in the methodology will foster creativity, opening new alternatives and avenues to favor international DMC in the promising field of legitimacy (Lindgreen *et al.*, 2021).

3.2 Data collection

The main source of information is semi-structured interviews with specialists, as they provide flexibility to collect technical and practical information on the research topic (Preikschas *et al.*, 2017; Toussaint *et al.*, 2021). The sample was obtained by cooperating with an export club composed of manufacturers currently competing in international markets with significant overseas experience.

The selection of the interviewees was based on their position, international experience and type and business size of the firm, in an attempt to obtain some homogeneity in the characteristics, but also different value propositions providing different lines of research (Plakoyiannaki and Budhwar, 2021). The sample (Table 1) included managing directors, export managers, chief executive officers (CEOs) or business development managers, as they have extensive knowledge of the strategy, decisions and problems in the field. Appendix 1 details the questions asked during interviews, which aims to delve into the marketing strategies used to implement internatonal DMCs that foster legitimacy in firms, which were divided into the following sections:

(1) Company outlook

(2) Internationalization strategy

(3) Legitimacy and internationalization: local partners, stakeholders' management, reputational problems, cultural differences and expectations and development of the strategy

(4) Capabilities developed in international markets: recommendations and good practices.

Due to the pandemic constraints, interviews were arranged with the association and each professional and were conducted online. They were recorded once authorized by the interviewee and researchers ensured anonymity *ex ante* to obtain the most accurate response without compromising their organizations and professional position. The interviews were conducted between March and July 2021. The fieldwork and main source of information for the research comprises 16 semi-structured interviews. The interviewees were not able to influence the findings, as the script was developed to guide the conversation, favoring a clear explanation of the marketing activities from a professional perspective and in a friendly atmosphere. It also allowed different perspectives to be reflected from the content analysis to achieve as much neutrality as possible.

	Activity	Experience	Business size	Countries	Position	Duration
1	Engineering technical services	From 10 to 20 years	Medium	Latin America, Sub-Saharan Africa, Southern Asia, Eastern Europe	Business development manager	54 min
2	Operations and consulting management	More than 20 years	Large	Northern America, Europe (Germany, Denmark), Latin America, Middle East (Egypt), Central Asia, Africa, India, Australia	Intelligence director	40 min
3	Financial business support	More than 20 years	Large	Africa, Panama, Mexico	Financial director	42 min
4	Machine tool manufacturing	More than 20 years	Medium	Asia, Middle East, Africa	Managing director	45 min
5	Operations and consulting management	More than 20 years	Small	Sub-Saharan Africa, Middle East, Latin America, Eastern Asia	Executive director	44 min
6	Operations and consulting management	More than 20 years	Large	Europe (Spain, Portugal, UK), Latin America (Peru, Colombia), Africa (Morocco, Tunisia, Algeria), Middle East	Executive director	37 min
7	Operations and consulting management	More than 20 years	Small	Africa, Middle East, Latin America	Executive director	45 min
8	Operations and consulting management	More than 20 years	Large	Australia, Mexico, Brazil	Sales director	30 min
9	Operations and consulting management	More than 20 years	Small	Northern America, Sub-Saharan Africa, Middle East, Eastern Europe	President	38 min
10	Engineering technical services	More than 20 years	Medium	Africa, Central America	Executive director	33 min
11	Tanks and containers manufacturers	More than 20 years	Medium	Southern Asia, Africa	Managing director	43 min
12	Paints and coatings manufacturing	More than 20 years	Medium	Spain, Portugal, Chile, Peru, Morocco	Executive director	43 min
13	Pharmaceutical company	More than 20 years	Large	Northern America, Latin America, Africa, India, Pakistan	President	34 min
14	Food and beverage manufacturing company	More than 20 years	Large	Europe (Germany, Italy, UK), Northern America, South America, Asia, Africa	Executive director	48 min

Table 1.
Information of interviews

(*continued*)

	Activity	Experience	Business size	Countries	Position	Duration
15	Tanks and containers manufacturers	More than 20 years	Medium	Europe (France, Belgium, Italy), Morocco	Export manager	44 min
16	Engineering technical services	More than 20 years	Medium	Africa, Latin America, Asia	Business development manager	50 min

Source(s): Authors' own creation

Table 1.

3.3 Data analysis

Due to the large amount of data collected, it was necessary to establish agile coding (Toussaint *et al.*, 2021). The GT approach is the one suggested by Glaser, as it favors researchers' creativity in the analysis of results, through a manual coding of results (Johnson, 2015). Two different researchers participated in the coding process. The interviews with experts contain rich details and nuances that were transformed into information after an iterative coding process that encompassed three main activities as suggested by Creswell (2014): open, axial and selective coding. This sequential approach is aimed at fostering creativity to provide new alternatives on the analysis of the topic, the identification of processes, abilities and routines that emerge in the form of strategies to generate DC to increase the legitimacy in foreign markets (Lindgreen *et al.*, 2021).

This coding process, central in any inductive analysis, was manual in order to keep creativity in mind during the analysis of results, as suggested by Glaser's approach as opposed to that of Strauss in GT (Johnson, 2015). Furthermore, both researchers in charge of the coding process tried to achieve a saturation in results and a certain consensus in findings (Johnson, 2015). The qualitative data were firstly subjected to an open coding, looking to reduce the information down to its essentials (summary and categorizing) in terms of operational marketing capabilities (see information integrated in Appendix 2). Later, those codes were related through axial coding, enabling a series of links and data patterns that connect the competences identified in the form of DCs, but also the connection with their expected level of impact (see Table 2). Finally, the selective coding was used to identify relationships among the elements defined through the axial coding, but with a major contribution by authors, which resulted in Figure 1, as it connects the findings with other theoretical constructs. This coding process was later assessed by two different researchers, who had also participated in the interviews, to obtain internal consensus.

Furthermore, different triangulation techniques were applied to increase the reliability of the results (Lindgreen *et al.*, 2021). As the researchers are actively participating in events of firm internationalization developed by Exporters Associations, it was possible to gain key insights and nuances about this complex field of research which would not have been possible without having previously built a sufficient level of trust with the various actors (Yin, 2017). It also meant first-hand access to new information sources, but also to reports, white papers and news on the topic (Guenzi and Storbacka, 2015). Additionally, the findings were discussed and shared between four different researchers that have participated in this project (Preikschas *et al.*, 2017). The results were only included when there was consensus on their interpretation. Those techniques can improve the credibility of findings and reduce the distortion caused by some research contexts.

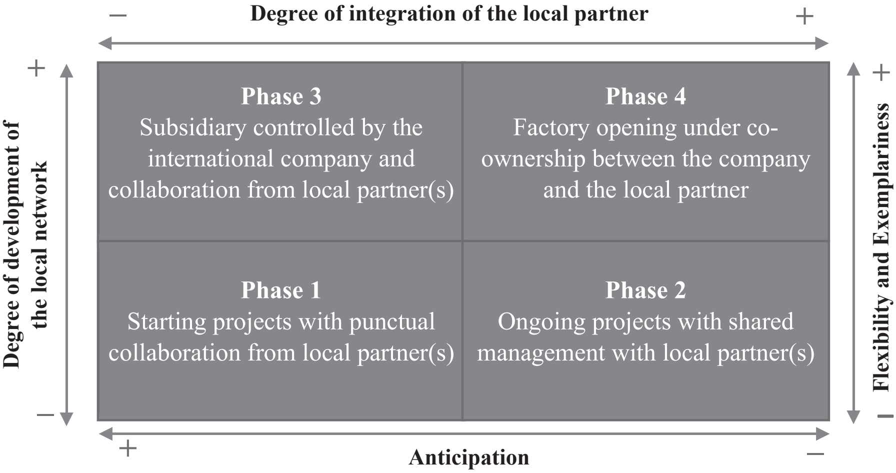
	Impact level		
Dynamic Marketing Capabilities Block - Related processes	Partner	Customer	Society
Flexibility			
- Understanding the differences	X	X	X
- Knowing the market	X	X	X
- Innovation	X	X	
- Talent	X	X	
Relationship management			
- Proximity	X	X	
- Availability and support	X	X	
- Pedagogy	X	X	X
- Trust	X	X	
- Long-term agreements	X		
- Alignment of objectives	X		
Sensitivity to the local market			
- Local network	X	X	X
- Commitment	X	X	X
- Proactivity	X	X	X
- Circularity		X	X
- Analyzing complementarities	X		
Anticipation			
- Clear procedures	X		
- Image control	X		
- Taking care of the supply chain	X	X	
- Selection of countries and partners	X	X	X
- Access to funding sources		X	
Exemplariness			
- Reputation	X	X	X
- Transparency	X	X	X
- Honesty	X	X	X
- Experience and success stories	X	X	
- Guarantees		X	X

Source(s): Authors' own creation

Table 2.
International DMCs and their area of impact

4. Findings

The analysis of the interviews provides interesting results, which make it possible to understand the essential operational capabilities and the higher-order DMCs on which companies should rely to gain legitimacy in international markets. Firstly, open coding allowed us to identify operational marketing capabilities used to take advantage of firm resources, resulting in a list of more than 30 aspects with an impact on management. Subsequently, through axial coding, interrelationships were identified between these elements, which are divided into five large blocks: flexibility, relationship management, local sensitivity, anticipation, and exemplariness. These five blocks bring together a series of key aspects, which, when integrated, become critical DCs to compete in international markets. Furthermore, each of these DMCs is linked to a different level of influence, i.e., they all stem from the business activity but have an impact on their partners, customers, or society. Each of these blocks is detailed below, but they are shown concisely in Table 2, including their levels



Source(s): Authors' own elaboration

Figure 1. Local development equilibrium during international implementation

of influence. In addition, a table with numbered quotations (Q#), organized by blocks, reflecting the ideas from the interviewee's words, is included in B.

The first block refers to the company's **flexibility**, which is an essential DMC for achieving a favorable acceptance in foreign markets. According to the interviewees, this flexibility shows an understanding of how to adapt to the specific circumstances of the country and a high level of professionalism in adjusting products or services to the local reality. For this, companies need to understand the differences that exist with respect to the country of origin, in a process of internalization of market demands (Q1). In this regard, knowledge about the market is a key element. This involves identifying sources of information on the characteristics of the local market, managing this information and transforming it into useful proposals or solutions for the market (Q2). A quote regarding this DMC is:

> Being on the ground gives you country and customer knowledge, which puts you in a better position to gain market share (#10)

These proposals must necessarily have a certain degree of adaptation to the market (Q3), which is reached after innovation processes that require a change in the way of conceiving the product (Q4). To achieve this result, the talent deployed by human resources, either from the company of origin or from local presence, is fundamental. The solutions lie in motivated and highly skilled employees, whose fundamental characteristic is their resolute nature (Q5). These activities are closely linked to the company's ability to do its work in a way that is adapted to the host country, which is an element that would give legitimacy to the local partner because it facilitates its commercial or operational work, and it emphasizes the company's professionalism and ability to adapt to the customer. A clarifying quote in this regard:

> We are very confident with our youth team, people who have started in the company and who are committed, so we return that commitment (#11)

The second block is related to **relationship management and the ability to generate empathy towards stakeholders**. This is a key element for achieving proper dialog and establishing communication channels to understand specific needs of local partners and international customers. In this regard, proximity (Q6) stands out as the first critical element for strengthening the link between the parties. As highlighted in several interviews, relationships go beyond the professional sphere, which is fundamental in legitimization. The second element is availability and support, i.e., the feeling that the company is there and provides a rapid response to problems or any eventuality. This response implies reactivity and proactivity (Q7). These aspects are linked to follow-up and presence during the sales, production and after-sales process in the following terms:

> We have to be very close to customers, let them feel our presence, it is an important strategic change because in past times we were more reactive (#3)

Another important element is pedagogy (Q8), or the ability to make stakeholders understand the characteristics, advantages and disadvantages of your products or services. This is essential when selling technically complex products. These elements facilitate the development of a relationship based on trust (Q9) and favor a greater degree of involvement, which can generate future long-term agreements between parties (Q10). Therefore, DMCs related to relationship management are a fundamental line of action to achieve legitimacy and alignment in the definition of objectives between the parties, based on shared interests (Q11). The ability to bring multiple realities together through multiple perspectives is achieved when there is a strong relationship between the parties, indeed:

> When we arrive in a country, we have to build trust, because we don't want to give up, we want to carry out a profitable operation with a good finish for both parties (#7)

The third block refers to **sensitivity to the local market**, i.e., achieving a capillarity in the host country, which enables the company to be identified as one of its own. This sensitivity is achieved through the establishment of a local network that provides access to direct and sensitive market information through the presence of the company or links with local agents (Q12). It is advisable to develop a philosophy of sharing benefits and value, a win-win strategy, in which there are many winners and in which local commitment is highlighted (Q13). In addition, it is advisable to enhance proactivity with the target market, integrate into the environment, understand its needs and, as far as possible, provide a little more than what was initially planned in the commercial offer (Q14). Circularity must also be promoted, i.e., training local staff to meet its needs (Q15). Finally, it is necessary to study the complementarities that may exist with companies in the surrounding area (Q16). To do this, it is necessary to study their characteristics, philosophy and way of acting beforehand. This would help to increase local sensitivity towards the company and with it, gain legitimacy from the local partner, the customer and, above all, local society, which takes time and a high level of commitment:

> Choosing a local partner can take you from success to failure, that's why we spend a lot of time on it (#2)

The fourth block relates to how the company should manage **the anticipation of problems**. This involves, first, a clear definition of procedures which, although it may lead to a certain bureaucratization of business activities, is useful for avoiding problems that arise by establishing systematic action or implementation (Q17). A second element is image control, which many companies are very protective of, as they want to be present when their partners use their image in order to avoid promises that cannot be kept (Q18). This control also applies to the supply chain, which they want to keep a close eye on so that their image is not affected by malpractice from a third party acting as a supplier of their products or services (Q19) This is an element that has gained importance today when it comes to generating legitimacy, especially because of the problems of global supply chains. The choice of host countries or partners has also been highlighted as a critical aspect in anticipating problems. Consequently, it is important to establish procedures and to identify reliable sources of information (Q20). Thus, many interviewees reported hardly any reputational problems, as their procedures allowed for the anticipation or early identification of the problem. In addition, this management is rewarded with preferential access to sources of funding that they can offer to their industrial or institutional clients (Q21). In this sense, for example:

> If you are a medium-sized company, internationalization must be done step by step, paying attention to the detail of each market and offering quality guarantees that allow sustainable growth (#12)

The fifth block refers to **exemplariness** because it is a guarantee of the organization's good performance in international markets. This is linked to the reputation that the company has, either in that market or in other markets where it has worked and which results in a positive recommendation or word of mouth (Q22). This block also includes transparency in its activities, negotiations, or projects, that it conveys certainty and that the organization has nothing to hide (Q23). For example, compliance treaties are one of the tools used. Honesty is another element that has to do with exemplariness in order to achieve greater legitimacy. It is not only necessary to seem honest, but also to be an honest company in all your activities (Q24). You have to be able to convey past experiences or success stories from previous projects or operations (Q25). Viewing these cases helps to generate greater legitimacy in the company's actions in order to have a good perception in markets. It is an activity that feeds back over time. Finally, it is important to highlight the guarantees that the company can offer of exemplary behavior through comments from third parties or collaborators with whom it has acted (Q26). This block influences all levels almost equally, with a fairly direct impact on the image projected by the company towards society.

> In the event of problems with partners or clients, intense work is done to minimize the impact and seek win-win solutions (#15)

In short, the five DMC blocks are based on a series of processes or routines that enable legitimacy to be achieved at different levels (local partner, customer, or society). All levels have an impact on legitimacy, either by appropriate practical action through relationship management, by demonstrating their capacity through flexibility and anticipation, or by developing their moral responsibility through sensitivity to the environment or exemplariness. All these elements are actions taken by the company to achieve DMCs that result in a differentiation in terms of the legitimacy of its organizations in the international environment.

5. Discussion: towards a local development equilibrium

The elements identified in the findings relate to the implementation options used by companies. It is worth noting that during crisis periods such as the current one, companies see their decisions conditioned when it comes to carrying out their internationalization strategies legitimately. In fact, uncertainty becomes an external variable that modifies the legitimacy judgment because it changes evaluators' judgment. That is, it modifies the way in which partners, customers and society value companies in order to achieve their acceptance and legitimization. The uncertainty generated in periods of crisis creates a climate of economic, legal and social insecurity, which ultimately results in greater local protectionism, in which foreign companies are required to meet higher standards than local companies in order to be accepted and to be able to develop their activity in the target market on equal terms with local competitors.

In this context, and following a selective coding process, interrelationships between DMCs have been identified, which directly affect the establishment of companies in host countries. Success in international markets under uncertainty depends mainly on the balance between two elements: the degree of integration of local partners in the company's strategy (related to relationship management) and the degree of development of the local network (related to sensitivity to the local market). These elements are linked to other DMCs such as flexibility, anticipation and exemplariness.

In order to achieve legitimacy, local partners need to feel that they are part of the strategy. In an initial contact, the local partner builds its opinion of the company based on its brand image, reputation and previous proven experiences. As the relationship progresses and is stabilized, what builds trust and acceptance of the local partner are mutual support, collaborative teamwork, transparency and alignment in defining objectives. Local partners help companies to get to know the country in depth, identify opportunities and break down cultural barriers to reach customers faster and increase their flexibility and adaptability. For the customer, the local partner's opinion of the company is crucial; if the partner accepts the company, the customer will tend to accept it. Therefore, DMCs concerned with relationship management by integrating local partners into the company's strategy should focus on achieving partner legitimacy as a prerequisite for achieving customer legitimacy.

Regarding the degree of development of the local network, the company achieves legitimacy in a new international market as it manages to "go local", i.e., when it manages to be identified as one of its own. To achieve legitimacy in the eyes of partners, customers and society, the company must progressively implement resources or commercial or production infrastructures to increase its presence and integration in the host country and convey its exemplariness and anticipation. Although a stable presence in a country involves a significant economic effort with the associated risks, it is relevant to achieve a positive evaluation in terms of legitimacy (Bitektine and Haack, 2015; Haack *et al.*, 2021). To minimize the associated risks, a gradual entry is recommended to allow the company to settle in without putting the company's image at risk.

The balance between these two elements allows progress to be made in achieving legitimacy in different areas of impact with respect to the local partner, customers and society. The company needs to achieve legitimacy in a sequential and progressive way to successfully establish itself internationally. Figure 1 shows 4 phases that companies can follow to achieve partner, customer and societal legitimacy depending on the balance between the degree of integration of local partners in the company's strategy and the development of the local network and its relationship with other DMCs.

In the first phase, the company's activity in the target market is initiated after a commercial opportunity. In the absence of a local network in the host country, the company needs to select a local partner to help with the ad hoc management of this initial project. DMCs must focus on gaining the legitimacy of the local partner as a prerequisite for gaining customer legitimacy. Although the company retains control and leadership over project management and decision-making, the relationship between the company and the partner must be based on communication and closeness. In this way, the acceptance of the local partner is achieved and potential points of confrontation are identified.

If this first project is successfully completed, the second phase is reached, in which the relationship between the company and the local partner is consolidated as new projects that require greater involvement on both sides arise. As the company does not yet have its own local network, it needs stronger and more stable collaboration with the local partner. At the same time, the local partner demands greater participation in management and decision-making. In this phase, DMCs must focus on trust, loyalty and collaboration to build credibility and legitimacy with customers.

In the third phase, as business activity in the host country grows, the company needs to create an internal structure that allows for greater local presence. Management is controlled by the company in close collaboration with the local partner. The opening of a commercial subsidiary in the host country represents an important investment with a great impact on local economic development. Establishing itself in the country by opening a commercial subsidiary allows the company to demonstrate its interest and commitment to society, which generates value and allows it to achieve legitimacy at the level of society by demonstrating greater flexibility and exemplariness. In fact, in many countries, foreign companies are required to create their own stable local structure as a prerequisite for any kind of international establishment. In this situation, DMCs should focus on creating stable alliances between the company and the local partner for the joint management of the commercial subsidiary. This type of long-term project has a positive impact on the local economy, reinforcing the legitimacy perceived by customers and society.

In the fourth and final phase of international implementation, the relationship is maximized by opening a factory or headquarters, whose management responds to a new external structure. The company needs to further integrate with the local partner by managing the factory on a co-ownership basis. This allows maximum levels of flexibility and demonstrates exemplariness in action. At this stage, DMCs should focus on consolidating partnerships to "go local" through stable, committed and sustainable projects at the economic, environmental and social levels. This level of implementation allows the company to demonstrate its honesty and level of commitment to society, as well as to achieve maximum legitimacy.

6. Conclusions

The analysis of the interviews, together with the literature review, provide an interesting basis for understanding how DMCs help to generate legitimacy in international markets. The coding process developed has allowed us to identify five major DMC blocks: flexibility, relationship management, sensitivity to the local market, anticipation and exemplariness. Subsequently, through selective coding, an interpretation of the results is developed through which a sequential process is proposed, based on the balance between the degree of development of the local network and the degree of integration of the local partner, as a means of action to achieve a positive legitimacy evaluation at the level of the partner, customer and society. This process suggests that commitment to DMCs varies according to the degree of implementation.

6.1 Theoretical implications

The first theoretical implication is the coexistence and strong synergies that exist within the DC Theory, particularly DMCs and legitimacy. A greater knowledge and deeper understanding of this field would help to provide companies with a greater diversity of tools to achieve their acceptance at different levels, either with the local partner, customer, or society (Gölgeci *et al.*, 2017; Mckague, 2011). These results coincide with previous proposals that challenge the classic principles of Institutional Theory in international contexts (Kostova *et al.*, 2008), which suggest that the legitimacy of multinational corporations rests on a social construction of their acceptance, beyond the development of actions leading to isomorphism. As such, isomorphism is not a necessary condition for legitimacy, while the development of DMCs would provide that necessary distinction for multinational corporations to obtain legitimacy. This aspect is particularly relevant because legitimized companies have higher levels of survival (Suddaby *et al.*, 2017).

From a theoretical point of view, this research clarifies and proposes how to operationalize DMCs that are fundamental to generating legitimacy and which could be tested in future research. The steps of the proposed framework show different stakeholder needs, as well as various thresholds of legitimacy. To the extent that a company progresses through different steps in a foreign market, it generally tries to obtain resources from different actors with different legitimacy evaluation criteria (Fisher *et al.*, 2017). Our findings contribute by advancing on the idea of the existence of different legitimacy thresholds, extending the previous notion of a single threshold. This insight contributes to the literature on internationalization (entry mode and liability of foreignness) by providing a coherent perspective of the legitimacy challenges confronted by firms. Moreover, it also extends the concept of institutional pluralism into the literature of international business, that is, a situation faced by organizations operating within multiple institutional spheres that have to meet the expectations of diverse audiences as they grow abroad (Kraatz and Block, 2008). In addition, a more complex construction of the relationship between DMCs is developed when it comes to understanding how to achieve greater implementation, seeking to positively enhance the evaluation of legitimacy, either at the local partner or customer and society level (Bitektine and Haack, 2015; Haack *et al.*, 2021). In this regard, the contribution aims to progress the implementation stage identified in the Uppsala model of internationalization processes, anticipating which DMCs to strengthen, depending on what the internationalized company wants to achieve.

6.2 Practical implications

There are many and varied practical implications of this work, highlighting, firstly, that organizational legitimacy is an asset that must be managed to achieve real differentiation in international markets. Legitimacy provides a differential for companies, which would allow them to improve their credibility and compete because the market perceives a differential value in their value proposition.

Secondly, the ability to offer a clear value proposition in the target market. In this regard, offering a comprehensive and intensive technological service, together with a strong after-sales service and support focused on relationship marketing, will strengthen ties with stakeholders, which are key elements in achieving the DMCs that lead to legitimacy. Therefore, strengthening relationships and adapting the offer to customers generates a plus in the value proposition to the market. Support during the *customer journey* through long-term collaborative actions allows companies to be perceived as a partner in the host country and improves customer acceptability.

Thirdly, local involvement by establishing a commercial structure in the host country is a recommended alternative to facilitate access to local markets. However, it is important to seek a balance in management and to have some control in order to avoid reputational crises or to be able to solve any problem or inconvenience quickly. It is important to create local networks, both through partners and through the presence of the company in host countries, with trustworthy people, with common interests and who lend credibility to the company. This action must be accompanied by the company's exemplary behavior, e.g., by offering transparency, adapting the offer to the reality of each country, regular communication with partners and clarity in the agreements supervised by ethics committees in which responsibilities are defined. It is advisable to anticipate legal requirements and to verify what impact regulations have on the compliance or ethical orientation of their partners, but also of themselves towards their partners.

6.3 Limitations and future research

The main limitation of this article lies in its exploratory and cross-sectional nature. Although the selection of the sample is relevant, the moment in history at which it occurred [coronavirus disease 2019 (COVID-19), Ukrainian war and supply chain crisis] and the size of the sample open the way for future research quantifying the impact of DMCs (Table 2) on organizational legitimacy.

This future line should incorporate the variables that allow measurement of the DMCs discussed in the paper. In addition, the elements raised in the discussion require further analysis to help understand this balance between local development and local partner involvement, its evolution over time and the impact on the company's legitimacy. These are promising areas of research in the field of DMCs and their impact on legitimacy. It would also be of great interest to measure the impact of uncertainty on legitimacy judgments through a larger sample and different profiles of risk aversion. Furthermore, the connection between DCs, legitimacy and performance in international markets would be particularly relevant. Besides, this line would be addressed through a multiple case study analysis with a longitudinal perspective due to the complex nature of DMCs. Finally, it would be interesting to apply other approaches in the analysis, such as the Dunning's eclectic paradigm and the advantages of ownership to understand its impact on organizational legitimacy (Carlos Pinho, 2007), or even the Transaction Cost Theory (Seggie, 2012), which is closely linked to cooperation processes and the hidden costs that may exist in these operations.

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Appendix 1
Script of Questions

Approach:
Could you explain what your company does?
How long have you been working at this company?
In which countries do you have presence?

Understanding the marketing managerial approach:
How do you internally organize sales abroad?
What is the core value proposition of your product or service versus the competition?
What problems do you encounter when selling in foreign markets?
Do they have to adapt the product based on the market? In what sense?

About legitimacy:
In foreign markets, do you have a partner? What type of partner?
How do these partners (if any) help you to understand the market?
Do these partners interact with the Public Administrations or do you?
Do they have other partners or work with stakeholders in the foreign markets?
Are they aware of the interests and objectives of these interest groups? Has your company executed any strategy to incorporate your company strategy in any given market?

Do these interest groups (either suppliers, customers, NGOs or public administrations) perceive that your company acts honestly and in accordance with the values that foreign companies demand? Why? Please, could you give us more information?
Have you had any reputational problem?
Do they perceive cultural differences about what is expected from foreign companies?
Has one of your partners or stakeholders in third countries ever questioned your strategy? In what direction? What has been the result?
Have you integrated these stakeholders in any way in the development of your strategy?

Close:
From your perspective, what does become the key to gaining prestige abroad?
What would you recommend doing to gain the complicity of your partners in third countries? How does this affect your customers?
Do you think your image is positive in these countries?

Appendix 2

Q#	Topic	Selected quotes (#firm)
Flexibility		
1	Understand differences	The way of doing business is not the same in all countries, and it makes you rule out partners or even countries, because the partner has to convey certain conditions or requirements to enter in a market that, sometimes, are not acceptable (#2) Managing the information of each country and helping you to filter it properly, allows you to understand who the important users are and what they need, so that they are more easily open to receiving a business proposal (#4) We are forced to interpret and try to offer a solution with the information obtained by partners, and with the challenges that certain markets have in terms of infrastructure or availability of experts (#6)
2	Market knowledge	We open subsidiaries and commercial offices always with personnel from the country of destination, to better understand the market and have greater cultural and geographical proximity (#4) We have a very deep knowledge of the markets and numerous contacts that help to accelerate projects (#9) Each market has its peculiarities and, obviously, if you want to sell, one must adapt its offerings, and for this you need knowledge from the market (#12) When you arrive in a country, you have to know three key issues from the market: regulatory requirements, cultural knowledge and people (#13)
3	Adaptation	Every time we develop a project, it is adapted to the needs of each country, and a local structure is set up at the project level with connection to the central office (#1) We have experience and we are a bit craftsman, we know the codes well and from them we can do very strange but very interesting things (#7) When we visit a client, we present ourselves with a dossier adapted to each country, emphasizing certain points . . . Adaptation in detail is important (#11) When we have a project awarded, adaptation is important and we have to know all the actors involved, trying to identify all the interested parties (#15)

(*continued*)

Table A1. Selected quotes organized by topic

Q#	Topic	Selected quotes (#firm)
4	Innovation	We go hand in hand with clients and help them find the optimal solution, adapted to their real problems because we have technology developed and implemented worldwide, and we cover the entire cycle hand in hand with the local partner: engineering, execution and implementation (#10) To compete internationally we are obliged to advance in technology and to know those markets in which we want projects (#11) Technology is a differential element to compete in international markets, the lower weights, travel times, comfort, make it a proposal at a higher technical level (#15)
5	Talent	The regulation has forced us to carry out a very exhaustive analysis, it demands highly prepared employees to provide answers, and this capacity of our people is what we mainly sell (#3) Project managers are in the front line of combat, in the day-to-day execution and in the resolution of problems, they allow us to earn money with their operations, and we give them the freedom to develop their work and feel comfortable (#7) For success, in addition to an attractive and competitive product, you must have a team of qualified professionals with training in digitalization, you must surround yourself with collaborators with good training, knowledge of languages and sensitivity to cultural nuances (#9) When a market stands out, we always tell the area manager if he is interested in being there, to become a partner with a share and participation in profits (#13)
Relationship Management		
6	Closeness	For more than 10 years, all customer adoption teams have being reinforce aiming at knowing our customer, actually it is impossible to work with a company you do not know (#3) Differentiating yourself only by the product is very complicated, you have to look for different ways, in our case it goes through a greater proximity to the client and an agile response to his requests (#4) We always emphasize that the greatest attribute of the company is the closeness to our people, suppliers, and customers; proximity grants access to information and information is money (#13) For a correct deployment of a project, it is important to have empathy, patience, put yourself in the other's shoes and do not believe yourself above anyone else, because they can contribute much more than is sometimes believed (#16)
7	Availability and accompaniment	One of the differentials of our business is that we accompany our client during all the phases of the project, from its definition to the start-up, there are clients who do not yet know what they want and they need special support in the definition (#6) The most difficult thing in emerging markets is to get along with local partners, give them a place, so that they don't feel colonized, quite the opposite, tell them how much you need them and show them support, but without letting them eat up your ground because they also have ambition (#8) We want customer technicians to know the product well, and this part of training support is highly valued, particularly in emerging and developing markets (#10) In our company, social and emotional intelligence prevails over the technical part, because if you are a very good technician, but you do not have social skills, empathy, or the ability to relax in a tense situation, everything else is useless, we have to be close (#11)

Table A1.

(*continued*)

Q#	Topic	Selected quotes (#firm)
8	Pedagogy	We try to sell the service with total transparency to my potential client, but this must be accompanied by pedagogical work to achieve understanding and adaptation to the country of destination (#5) In problem-solving processes, you have to be very didactic because many times you have to make people understand that it is not your imposition, but that the suggested option is the most reasonable, trying to reach a point of agreement (#7)
9	Trust	Communication is important when doing business, although the decision has to be rational and objective about a value proposition you are offering, if you do not pass the previous filter of trust, the business will not arrive (#4) We have associated experts linked to the company in different markets, to whom we turn for management given their knowledge of the market and with whom a relationship of trust is developed (#5) We need to generate a climate of trust and understand what they need, we have to listen to them, have a coffee and talk in a calm environment (#10) International collaborators have to feel part of the project and we make them feel part of the company, creating a bond of trust (#11)
10	Long-term agreements	We have a category management structure that develops plans for improvement in collaboration with strategic partners, establishing long-term relationships based on a win-win philosophy (#1) In many countries we work with family businesses, to which we offer a more stable and durable long-term collaboration environment, something they value in a special way (#4) We always work hand in hand with partners, building an annual business plan that identifies products and brands to reinforce, prices and positioning ranges (#14) We try to establish a differential through maintenance contracts that are very long term, and that will help cover the useful life of the project, helping to service the business (#15)
11	Goal Alignment	The company's strategy and commercial approach of the company need to be aligned, particularly downstream with the area of operations and the political conception of the company (#1) We have to make their interests ours, that they have the same interest as you (#2) We try to share responsibilities when we do a project to avoid execution problems and achieve a shared goal (#6) We interact a lot with clients, in mixed teams, so that development and technology are developed together and that the objectives throughout the project are shared (#15)
Sensitivity towards the local market		
12	Local Network	Without a local presence it is very difficult to have the feeling of the client and more in the type of project in which we work (#6) The local network is like a cultural tool that allows us to identify if the people and companies that contact us are serious or not (#7) We took advantage of the first project to achieve recurrence through our own structure in the country, it is a core factor for success (#8) Local partners are key because they know the rules of the country and help with cultural aspects (#16)

(*continued*)

Table A1.

Q#	Topic	Selected quotes (#firm)
13	Engagement	By opening regional offices we gain proximity, visits can increase and joint visits to the end user can be established so that they see interest on our part, this constitutes a training process for distributor salesmen (#4) There is always a collaborator present with the client, which generates a lot of trust, as well as responsibility and anticipates good work (#6) You are global, but then in each market you become local, there is no one to change this, and it is the way to achieve linkage with the market (#9) Projects in emerging countries require a lot of local content and that is where you can involve partners and the local productive fabric to add value to the client and society (#15)
14	Proactivity	In business development we do not keep waiting for opportunities, but we also look for it and propose it (#1) Every time the commercial activity comes more from the bottom up, that is, there is motivation of the employees in the field, acting as a link between all the elements of the company, we try to make people aware of the opportunities that may arise (#6) We are a proactive provider who solves problems, ours and those of others who work around us (#12) You cannot go around and have someone tell you things, you have to identify local players who are not only customers, but also importers, regulators, influential companies, and you must be clear about this before entering a market (#13)
15	Circularity	We always try to sell technology transfer and after-sales services. We include technical courses for both clients and local construction companies because the product is new, and they should know how to manage it (#2) When we leave a project, we make sure that people know how to use it, so that they can get the most out of the innovative technologies and services implemented, through training processes (#6) Climate change is a challenge that must be faced decisively, but it can be done perfectly, it is a question of technological substance that can be faced with the appropriate incentives (#7) We offer advice and training because this allows the transfer of knowledge, we like the client to know the technological product that is offered, that is why we offer detailed trainings (#10)
16	Analyze complementarities	For us, the ideal partners are companies that do not have the technology or the know-how that we can have in our sector. We usually look for complementary companies and we offer them business that could not develop without you. You incorporate them into a project where they are going to work in parallel to you, with their own scope, which is complementary to ours and with our supervision. You are going to be successful if they successful (#2) (. . .) the local partner normally does the most basic part of the civil works in infrastructure projects, while we do the engineering, design, project, equipment supply, shipments, logistics, economic control of the project, we are quite complementary (#8) We usually work with different partners depending on the project, so that complementarities are maximized (#12)

Table A1. (*continued*)

Q#	Topic	Selected quotes (#firm)
Anticipation		
17	Clear procedures	The world of compliance, which is influenced by American legislation, is becoming increasingly important and relevant (#3) We have a regulatory compliance guide that is also used by our suppliers (#5) For the internationalization process we follow a model based on three levels, which starts with prospecting, to later act in terms of promotion and finally we conclude with the affiliate, often with local partners or through acquisition, has served us to progress in trade outer (#13)
18	Image control	Part of the process involves taking extreme care with our clients, partners and suppliers . . . For example, for the latter, integrity compliance is requested, in addition to sustainability or financial risk so that it does not negatively affect the company (#1) In the new countries we start with indirect dialog, but we end with direct dialog, we always must be there to avoid brand problems (#7) We have a system to control customer satisfaction, we usually receive congratulations from local testimonials (#15)
19	Supply chain care	Now that we are very focused on the regenerative economy and on promoting the local economy, eliminating the emission of carbon footprint. Well, all of this is to ensure diversity and a supply chain in which human rights are fully guaranteed (. . .) we have changed the criteria for awarding suppliers so that they are not only based on economic terms (#1) A good selection of suppliers can make you go from total success to the most resounding failure depending on whether you choose it well or badly (#2) Now there has to be a certain balance between production positions and proximity to ensure supply, an opportunity for countries close to Europe, for example (#9)
20	Countries and partners selection	The selection of countries is important, we tend to go to markets where competition is incipient to achieve a good position and always with a very defined process (#6) Opening a business in a country is complex, you must know the economic, political and institutional situation very well and identify your potential clients, talk to the companies that are there and identify opportunities (#8) Before internationalizing the activity, we have to do a risk analysis of the country and the clients we are going to, but also we may know the government programs of those countries and their purchasing and indebtedness capacity (#9) We have chosen to focus on markets that do not generate hidden costs and where we are better able to control costs and advance technologically (#11)
21	Access to funding sources	Financing is very important, especially in developing markets. They require you to be the one to provide funding for the project and there are instruments that can help (#2) If clients have sufficient guarantees, we help them on how to obtain financing as an added value in our business development (#6) Flexibility is our main value proposition, along with experience in access to financing, which is highly relevant in international markets (#7) In addition to the technical capacity, to carry out industrial projects, one difference to be able to carry them out is to provide financing, identify who can pay for them (#8)

(*continued*)

Table A1.

Q#	Topic	Selected quotes (#firm)
Exemplariness		
22	Reputation	The board of directors plays a very important role within the company because they are recognized in international trade and each one has an area of expertise that makes it possible to have a large network of contacts and access to many technologies (#6) We have not left any dead on the battlefield, we have been reliable, and they speak well of us, even when projects have not succeeded (#7) It is complex the no existence of problems, the case is how you solve them because when faced with a serious problem we show commitment to the client and to the brand, we reversed the situation with heavy spending and the result was a long-term relationship (#11) You have to pay a lot of attention and effort to reach local implementation, because if it doesn't go well, it can even negatively affect your reputation (#13)
23	Transparency	The experts we have are listed on the website as a measure of transparency and so that clients know who I am going to turn to on specific issues, so that more credibility is generated about the actions (#5) Our conception of transparency is that the partners feel one of yours, for this they will always be informed of the management that is done with the clients because they want to feel that we are one of theirs (#10) We pay special attention to corporate social responsibility criteria at all levels, showing a clear and sincere commitment to wealth creation with clear and visible indicators (#15)
24	Honesty	We have an ethical code of transparency and integrity, which all employees know and which endorses the honesty of the organization (#5) The markets are becoming more demanding, the regulatory institutions too, when you enter a country they do not expect you to be better than the others, simply that you comply with the rules and from there you go on to compete, and you must demonstrate the superiority of your product (# 9) Something that characterizes our company is that in 28 years we have never litigated anyone, and we have never been sued by anyone, that is because you have a solid ethical approach (#13) To date I think they have seen us as an honest company and that we are going to sell them something and give them the fright once the project is finished, because this ends up being known (#16)
25	Experience and success cases	We work with collaborators with some previous connection with the organization, people with their own business, but with many years of experience in the market (#5) I always present my reference book with the track record, which helps the client a lot to understand that my company is serious (#6) When you tell what you have done, trust in our company increases (#8) Things come out moving many threads and making many calls and, especially, in critical situations they could see the company that we are, the technical and human quality is what makes the difference (#10)
26	Guarantees	We are a company that has had absolutely no litigation, beyond specific complaints, the executed projects have guarantees of a good development (#2) We have an advisory board that serves to advise and help achieve objectives, which is made up of five reference people, with a strong background in different industries, it means an important guarantee for our company and for working with others (#5) Having recognizable clients around the world is very important because it serves as a guarantee, especially if you are unknown (#12)

Table A1. **Source(s):** Authors' own creation

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